

VERIFICATION-DRIVEN MUNICIPAL RESEARCH

California Insulated Muni Sleeve

Risk-budgeted reach — the credit-axis extension. A hold-to-maturity, AI-insulated CA muni ladder, with an underwritten reach for incremental yield only where a primary-source gauntlet proves the spread is compensation.

8.87%

Blended after-tax TEY · Budget B

+52bp

Reach pickup vs pure core

~10%

AI-exposed (cap 15%)

AI-1

Core insulation tier

THE THESIS IN ONE STATEMENT

Credit $\neq$ price. Underwrite before you reach.

Own the pledges that **pay par when tech-driven state revenue collapses** — local-property-tax GO and essential-service revenue. Reach for yield **only where underwriting proves the spread is compensation**, never where the market is pricing a loss. Hold to maturity; harvest the tax shield; never sell into the downturn.

The discipline that separates this from a yield screen

Compensation = (+bps TEY) $\times$ P(collect to par). The highest stated yields are the traps; rank by what you actually collect.

Two insulation mechanisms — plus a parallel.

\$53515 levy

School/CCD **unlimited-tax GO**: a statutory lien on a dedicated, unlimited ad-valorem levy in a segregated I&S fund. Auto-adjusts to cover debt service; insulated from issuer operating distress. **Default $\approx$ 0.**

Monopoly revenue

Water / sewer systems: rate-setting monopolies on a captive base. Very low default, no ratepayer substitute. Risk is supply & DSCR, verified from first principles (DWR/Bulletin 118).

RPTTF parallel

Tax-increment (post-2012 successor agencies): a segregated property-tax increment. City general-fund turmoil **does not reach the pledge** — Oakland's distress $\neq$ its RPTTF lien. Default $\approx$ 0.

The AI-crash channel = the State General Fund cap-gains tax

A tech bust craters CA capital-gains revenue → State GF → anything reliant on state aid. All three mechanisms are funded by **local property tax, not income tax** → structurally AI-insulated (AI-1/2). That is the entire reason the core survives the crash.

THE MONEY-GOOD CORE

The foundation everything is measured against.

8.0–8.7%

After-tax TEY (de-minimis aware)

≈ 0

Default base-rate (money-good to par)

AI-1

Local property tax · no State-GF reliance

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DD-confirmed names · ~\$1.04M

A ladder of CA school/CCD unlimited-tax GO + essential-service water/sewer revenue. Price risk is rate/duration only — which a hold-to-maturity holder absorbs. Every name passes the credit / fire / quake / supply / liquidity gauntlet and the par-call discipline.

Why direct munis win — matched 7.5-yr duration.

INSTRUMENT	AFTER-TAX YIELD	TEY	VS CORE
Direct insulated ladder	3.87%	7.77%	—
Vanguard CA fund (VCLAX)	3.60%	7.24%	−0.27 pp
7-yr US Treasury	2.57%	4.34% taxable	−1.30 pp

vs Treasuries: +1.30 pp/yr — it's the TAX SHIELD

Pre-tax the muni yields less; the Treasury bleeds ~1.8 pp to 40.8% federal tax. Break-even fed rate ~11% — you're at 40.8%. Not credit alpha — a bet on staying in-bracket.

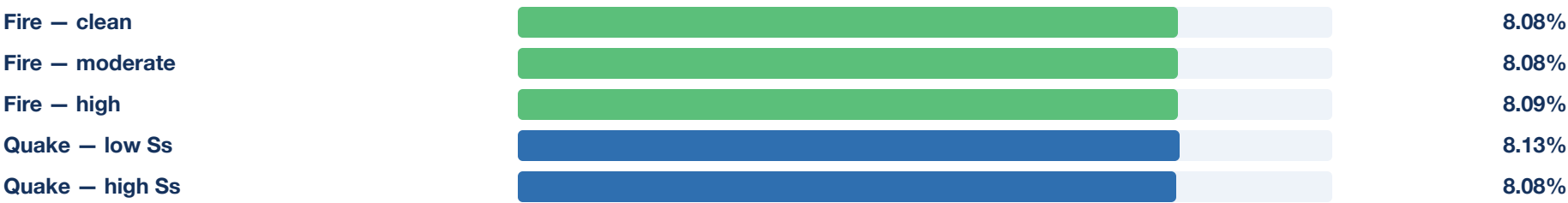
vs the fund: +0.27 pp/yr after tax

The fee + structure + odd-lot-yield edge a pooled fund can't capture — *plus* hold-to-par certainty a perpetual fund structurally cannot offer.

KEY FINDING

Yield lives on the credit axis — not hazard.

Median after-tax TEY by risk taken, scored universe. Fire and quake risk pay essentially nothing on high-grade GO:



Relaxing the fire/quake screen buys ~0 bp

§53515 makes hazard-exposed GO money-good and the market prices it — so taking hazard risk earns nothing. The reach is **credit quality and pledge structure**. (Hazard is only a buy on a headline *dislocation*.)

THE COMPENSATION MAP

Collected bps, not stated bps.

TYPE	TEY / +BPS COMP	REACHES PAR?	VERDICT
RPTTF tax-alloc — residential	9.6–10.0% / +130–170	no (segregated lien)	✓ best bps-per-risk
System hospital (A–AA)	9.3–9.8% / +100–150	~no (money-good)	✓ fair
Cal-Mortgage CCRC (insured)	8.2–9.6% / +0–240	~no (State AA- wrap)	✓ near money-good
Charter — cleared CMO	10.1–13.7% / +170–530	YES	⚠ underwritten only
District hospital (Baa)	10.2–11.6% / +180–320	yes (Medi-Cal/AI-3)	⚠ strong DSCR only
State GO	8.3% / +0	no, but AI-4/5	✗ uncompensated AI
CCRC start-up / single-site	12–16% / +370–770	YES	✗ trap-yield
Tobacco turbo ABS	12%+ / +370+	YES (B/Caa)	✗ priced for loss

Anchored on the money-good core = 8.35% TEY (zero). +bps TEY = gross spread × 2.01. Taxable types excluded from gross-up. Indicative mid-market ~15–20yr.

What underwriting bought — and caught.

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higher-yield candidates (charter / hospital / RPTTF / conduit), all yielding 4.8–6.8% gross

resolve

each CUSIP → its real obligor via EMMA Official Statements (conduits hide the credit)

underwrite

charter renewal / enrollment / DSCR / days-cash / operator; hospital margin / days-cash / payer mix; RPTTF AV-coverage — from primary continuing disclosure

cleared

RPTTF-residential · system hospitals (El Camino/Sutter/Stanford) · strong-CMO charters (Aspire/Classical/Summit) · Cal-Mortgage CCRC

The six traps a yield screen buys blind — the gauntlet rejected all

✗ tobacco turbo-ABS mislabeled "conduit" (long end → B/Caa) · ✗ Envision charter in covenant **non-compliance** · ✗ Harbor Springs DSCR 1.00x (at the floor) · ✗ Vibrant Minds **blank** covenant cert · ✗ a **defunct** re-CUSIP'd bond · ✗ four **taxable** names mislabeled.

A state-wrapped, near-money-good tier.

Cal-Mortgage INSURED (State AA- wrap)

OBLIGOR	TEY
★ Sequoia Living (A- + wrap)	9.55%
Paradise Valley Estates	8.68%
Pilgrim Place	8.44%
Carmel Valley Manor	8.33%
Aldersly / Atherton Baptist	8.28 / 8.15%

8 of 19 insured · verified vs HCAI Oct-2025 Insured-Loans report (0 CCRC defaults, 0 DSRF shortfalls).

The wrap converts the risk

CCRC is the highest-default sector *nationally* — driven by start-ups & single-sites. The Cal-Mortgage program turns idiosyncratic operating/recovery risk into a pre-funded **State insurance fund** → near money-good.

Standout of the whole exercise

Sequoia Living — A-rated *and* Cal-Mortgage-wrapped *and* 9.55% TEY. System-hospital safety at a +120 bp yield.

THE RISK BUDGET

The discipline that makes the reach investable.

BUCKET	A · INSULATION-MAX	B · BALANCED ★	C · YIELD-TILT
Money-good GO / water / RPTTF core	90%	82%	70%
Clean low-AI reach (sys hosp / insured CCRC)	10%	8%	7%
Par-reaching credit (cleared charter / dist hosp)	0%	10%	23%
Blended after-tax TEY	8.63%	8.87%	9.19%
AI-exposed · par-reaching	~0–5%	~10% · ~10%	~20% · 23%

Recommended: Budget B

90% stays money-good and AI-insulated; +52 bp blended TEY for a contained 10% credit sleeve whose expected loss (~10–15 bp, underwritten) is well below the yield it earns. **Caps:** AI-exposed ≤15% · par-reaching ≤25% (charter ≤12 / hosp ≤6 / CCRC ≤5) · per-obligor ≤2% · every reach name gauntlet-cleared.

Where returns are won or lost.

- **Par-call trap:** every name is callable at par — **never bid above 100**. A premium on a near-par callable collapses yield-to-worst to the call and forfeits the premium. All bids capped at par.
- **Taxable gate:** odd 3-decimal coupons near par are the taxable-muni signature — verify EMMA TAX STATUS before any $\times 2.01$ gross-up (the gauntlet caught 4 mislabels).
- **De-minimis:** deep-discount accretion is taxed as *ordinary* income (50.25%) — the after-tax TEY already reflects it; never rank on gross YTW.
- **Liquidity tiers:** the EMMA two-sided trade tape, not a screen offer, is the execution gate. ~13 names self-directed; the thinner dozen via desk.
- **Migration:** fund purchases by selling the fund (VCLAX) in slices — stay duration-matched (rate moves wash out); no rush (~4–5 yr payback on entry friction).

HONEST CAVEATS

Read these before the headline yield.

- ! The **Treasury pickup is the tax shield**, not credit alpha — pre-tax you give up yield. It's a bet on staying in a high CA+federal bracket; it shrinks if rates fall below ~11% or you leave California.
- ! The **SMA edge over a cheap fund is modest** (~+0.27 pp after-tax) and partly eroded by one-time odd-lot acquisition cost — the durable value is hold-to-par certainty + the screen, not a yield windfall.
- ! **Every reach name reintroduces some exposure the core excludes** — charters carry the State-GF/AI channel; even insured CCRC has a thin state-backstop tail. Size against the AI budget, don't free-ride the insulation.
- ! **UNVERIFIABLE ≠ clean**. Two open items before funding the reach: per-CUSIP tax status on the RPTTF/hospital names, and DSCR/days-cash from the OS on the charters.
- ! The screen is a distress **floor, not a ranker** — a name passing means "no tripwire fired," not "money-good." Within-tier selection still requires judgment.